



United States
Attorney's Office
District of New Jersey



Owner of New Jersey Businesses Admits to Fraudulently Obtaining Over \$3.2 Million from The Paycheck Protection Program

Tuesday, April 15, 2025

For Immediate Release

U.S. Attorney's Office, District of New Jersey

TRENTON, N.J. – An owner of several New Jersey businesses admitted to fraudulently obtaining over \$3.2 million in federal Paycheck Protection Program (PPP) loans, U.S. Attorney Alina Habba announced.

Daniel Dadoun, 48, of Israel, formerly of South Plainfield, New Jersey, pleaded guilty before U.S. District Judge Robert Kirsch to an information charging bank fraud and money laundering.

According to documents filed in this case and statements made in court:

From April 2020 through August 2022, Dadoun engaged in a scheme to illegally obtain over \$3.2 million in PPP loans for his New Jersey businesses by submitting false and fraudulent loan applications. After receiving the PPP loan proceeds, Dadoun sought to keep the money by submitting false and fraudulent PPP loan forgiveness applications that misrepresented payroll expenses and the number of employees at his companies. In support of the loan and forgiveness applications, Dadoun submitted falsified tax documents and altered bank statements.

The charge of bank fraud carries a maximum penalty of 30 years' imprisonment and a maximum fine of \$1,000,000, or twice the gross gain to the defendant or gross loss to the victim, whichever is greatest. The charge of money laundering carries a maximum penalty of 10 years' imprisonment and a maximum fine of \$250,000, or twice the gross gain to the defendant or gross loss to the victim, or twice the amount of criminally derived property involved in the transaction, whichever is greater. Sentencing is scheduled for August 13, 2025.

U.S. Attorney Habba credited special agents of Homeland Security Investigations Newark, under the direction of Special Agent in Charge Ricky J. Patel, special agents of IRS – Criminal Investigation, New York Field Office, under direction of Acting Special Agent in Charge Harry T. Chavis, Jr., special agents of the Social Security Administration – Office of the Inspector General, Boston New York Field Division, under the direction of Special Agent in Charge Amy Connelly, and special agents of the U.S. Attorney's

Office for the District of New Jersey, under the direction of Special Agent in Charge Thomas Mahoney, with the investigation leading to the guilty plea.

The government is represented by Assistant U.S. Attorney Katherine M. Romano of the U.S. Attorney’s Office Health Care Fraud Unit in Newark.

The District of New Jersey COVID-19 Fraud Enforcement Strike Force is one of five strike forces established throughout the United States by the U.S. Department of Justice to investigate and prosecute COVID-19 fraud. The strike forces focus on large-scale, multi-state pandemic relief fraud perpetrated by criminal organizations and transnational actors. The strike forces are interagency law enforcement efforts, using prosecutor-led and data analyst-driven teams designed to identify and bring to justice those who stole pandemic relief funds.

Anyone with information about allegations of attempted fraud involving COVID-19 can report it by calling the Department of Justice’s National Center for Disaster Fraud Hotline at 866-720-5721 or via the NCDF Web Complaint Form at: <https://www.justice.gov/disaster-fraud/ncdf-disaster-complaint-form>.

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Defense counsel: Anthony J. Pope, Jr., Esq.

[dadoun.information.pdf](#)

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Topic

FINANCIAL FRAUD

Component

[USAO - New Jersey](#)

Press Release Number: 25-102

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